

**THE PROBLEM OF SOCIAL ORGANIZATION
IS HOW TO SET UP AN ARRANGEMENT UNDER
WHICH GREED WILL DO THE LEAST HARM,
CAPITALISM IS THAT KIND OF A SYSTEM.**

MILTON FRIEDMAN

It's all about me

When we're deciding what goods and services we're going to buy, and the price we're prepared to pay, we try to get the best deal we can for ourselves. It would be foolish not to. And the producers aren't providing those goods and services just for our benefit, but in order to make a profit, and they'll also try to get the best price they can. Everyone in the market is acting in his own interest. The result, argue economists who believe in free markets, is that everyone benefits. The producers sell their goods and make a profit, and the buyers pay a fair price for the things that they need and want. Competition with others in the market who are protecting their own interests spurs productivity and innovation, giving us new and better products and lower prices. Self-interest, the economists argue, is therefore a good thing.

A bigger share

But most people don't have such a rosy view of the way markets operate. Rather than just looking after their own interests, many businesses are seen as greedy and aggressive. Not happy with having enough to satisfy their needs, people are easily tempted to try to get more, without considering the needs and wants of others. Greedy businesses and consumers try to take more than their fair share, becoming rich at someone else's expense. Perhaps this unfairness is inevitable in a free market. It encourages people to act in their